WAVERLEY GATEWAY GUIDE

Connecting International Capital

BULGARIA

Europe

Information current as of November 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Sofia	Capital and largest economy; seat of government, the Bulgarian National Bank and most international firms, with a deep pool of IT and business-services talent	IT and software, business services, finance, real estate
Sofia-Bozhurishte and other National Company Industrial Zones sites	State-developed industrial parks offering serviced plots, with the national company working on investment projects worth more than BGN 80 million (about €41 million)	Advanced manufacturing, electronics, logistics
Plovdiv / Trakia Economic Zone	Bulgaria's leading manufacturing cluster, where a project is under way to make it the EU's first carbon-neutral industrial park	Automotive components, electrical equipment, food processing
Burgas	Black Sea port city and home to the Neftochim Burgas refinery, the country's only oil refinery, now under state-appointed special administration	Refining, port logistics, petrochemicals, tourism
Varna	Northern Black Sea port and university city with a newly registered industrial zone	Shipping, logistics, tourism, light manufacturing
Kozloduy (north-west, Danube)	Site of Bulgaria's nuclear power plant, where two new Westinghouse-designed units are in preliminary engineering	Nuclear energy, engineering, construction services
Ruse and the Danube corridor	Danube port and road-rail crossing to Romania, linking Bulgaria with Central Europe within the Schengen area	Logistics, manufacturing, agro-processing

INVESTOR ENTRY ROUTES

- InvestBulgaria Agency (under the Ministry of Economy and Industry) provides free facilitation, site selection and incentive guidance for foreign investors
- Investment Promotion Act certification (Class A, Class B and priority projects) giving faster administrative service and access to incentives; the agency issued 25 Class A and B certificates in 2024
- National Company Industrial Zones parks and private parks such as the Trakia Economic Zone offering serviced land for manufacturing and logistics
- A 10% flat corporate income tax and 10% flat personal income tax, among the lowest rates in the EU

- Euro-area membership since 1 January 2026: the euro is the national currency, with no currency risk against the euro and free capital movement under EU rules
- EU single-market and Schengen membership, giving goods, services, capital and people free movement across the EU and passport-free travel since January 2025
- EU co-financing through the €6.17 billion Recovery and Resilience Plan and EU cohesion programmes for energy, transport, digital and innovation projects

MARKET-ENTRY OBSERVATION

Bulgaria in November 2026 offers investors a combination that is rare in the EU: euro-area membership and full access to the single market, alongside a 10% flat corporate tax and one of the lowest public-debt levels in the bloc. The euro became the national currency on 1 January 2026, with the European Commission describing the changeover as smooth and efficient, and the Bulgarian National Bank is now part of the Eurosystem and the Single Supervisory Mechanism. GDP grew 3.1% in 2025 and 2.7% year-on-year in the second quarter of 2026, led by an 8% rise in fixed investment and 7.6% growth in consumption. Foreign direct investment reached €3.26 billion in 2025, about 2.8% of GDP, led by investors from the Netherlands, Greece and Italy. Removal from the FATF grey list at the October 2026 plenary, full Schengen membership and the April 2026 election of a single-party parliamentary majority, the first since 1997, further strengthen the outlook.

Bulgaria's main structural challenge is restoring fiscal discipline and containing inflation while keeping EU-funded investment on track. The 2025 budget deficit reached 3.5% of GDP, the 2026 budget was only adopted in mid-year with a deficit target of 5.7% of GDP, and the EU Council opened an excessive deficit procedure in July 2026 with a 2029 deadline for correction. Consumer price inflation rose to 6.1% in October 2026, in part reflecting higher global energy prices. The starting position is nonetheless strong: public debt was just 29.9% of GDP in 2025, euro membership removes currency risk and lowers funding costs, and the EU framework provides a clear consolidation path. Recovery Plan payments continue, including €896 million received on 31 July 2026, and the government's anti-corruption and reform agenda is aimed at unlocking further EU funds, creating sustained opportunities in energy, transport and digital infrastructure.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Fiscal deficit and EU excessive deficit procedure	The deficit rose to 3.5% of GDP in 2025 and is targeted at 5.7% in 2026, prompting an EU procedure with a 2029 correction deadline	Low debt of 29.9% of GDP and the EU framework anchor consolidation; investors should monitor tax and spending measures in future budgets
Inflation after euro adoption	Consumer price inflation reached 6.1% in October 2026, raising wage and input costs	Euro-area membership brings ECB monetary policy and price stability; build wage indexation and energy-price scenarios into business plans
US and UK sanctions on Lukoil's Bulgarian assets	Lukoil, owner of the Burgas refinery and a fuel retail network, has been under US sanctions since October 2025; operations continue under a special administrator and a US licence valid to 24 April 2027, which is not a lifting of sanctions	Engage sanctions counsel before any dealings with Lukoil entities; a lawful sale of the assets, which Bulgarian law now allows, could open a significant energy-sector opportunity
Governance and rule of law	Corruption and judicial effectiveness remain a concern for investors, and recovery-plan reforms in some areas are still pending	The new government has made anti-corruption its central pledge, FATF grey-list exit has been achieved, and EU rules and courts provide recourse
Political continuity	Bulgaria held repeated elections before April 2026, delaying budgets and reforms	A single-party majority now offers the most stable government in decades; track policy on EU funds, energy and foreign affairs
Labour availability	Skilled labour can be scarce outside the main cities, increasing wage pressure	Locate in Sofia, Plovdiv or Varna clusters, partner with universities and use EU-funded training programmes
Black Sea region security	Bulgaria borders a Black Sea affected by	As an EU and NATO member, Bulgaria

Issue	Potential Impact	Possible Mitigation
	the Russia–Ukraine war, with implications for shipping and energy	benefits from collective security; include routine shipping and insurance contingencies in planning

INVESTOR RISK NOTE

Bulgaria's risk profile is that of a stable EU and euro-area member with low public debt, a competitive tax regime and improving institutional credentials. Euro adoption in January 2026, removal from the FATF grey list in October 2026 and full Schengen membership are lasting gains, and the April 2026 election delivered the first single-party majority since 1997, ending a long period of repeated elections. The main near-term issues are the fiscal deficit, now under an EU excessive deficit procedure, and inflation of 6.1% in October 2026; both are being addressed within a clear EU framework, and debt of 29.9% of GDP leaves ample room for manoeuvre. Investors should note that Lukoil and its Bulgarian subsidiaries, including the Burgas refinery, are subject to US sanctions; activity is permitted only within the limits of US licences currently valid to April 2027, and any dealings require specialist sanctions advice. Outside this specific case, Bulgaria offers investors the legal certainty of EU law and the convenience of the euro.

MARKET ACCESS

As a member of the EU, Bulgaria gives investors tariff-free access to the EU single market and to all the EU's free trade agreements, with WTO membership and the EU's common trade policy governing trade with third countries. Euro adoption in January 2026 removed exchange-rate costs for trade and investment with euro-area partners, and full Schengen membership since January 2025 has ended border checks on land routes to Romania and Greece, cutting freight times. Bulgaria sits on the land route between Central Europe, Turkey and the Middle East, and its Black Sea ports at Burgas and Varna and its Danube ports connect it to wider European and global markets. In energy, Bulgaria is building its section of the Vertical Gas Corridor, linking Greek LNG terminals with Romania, Moldova and Ukraine, with key works due by the end of 2026, positioning the country as a regional energy transit hub.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Council of Ministers (Prime Minister Rumen Radev)	Sets economic, fiscal and reform policy; the government elected in May 2026 has prioritised anti-corruption and unlocking EU funds	Primary reference point for Bulgaria's strategic direction and major projects
InvestBulgaria Agency	National investment promotion agency; issues Investment Promotion Act certificates and supports investors through the process	Standard first point of contact for market entry and incentives
Bulgarian National Bank (BNB)	Member of the Eurosystem since January 2026; its governor sits on the ECB Governing Council, and it supervises banks within the Single Supervisory Mechanism	Relevant for banking, payments and financial-sector matters
Ministry of Finance (Deputy Prime Minister Galab Donev)	Leads the budget, tax policy and the response to the EU excessive deficit procedure	Key counterpart on tax, fiscal and public-finance matters
Ministry of Economy and Industry	Oversees industrial policy, the InvestBulgaria Agency and the National Company Industrial Zones	Relevant for incentives, industrial parks and manufacturing investment
Bulgarian Energy Holding	State energy group whose interests include gas transmission through Bulgartransgaz and a 10% stake in the Han Asparuh Black Sea exploration block	Essential partner for gas, power and energy-infrastructure engagement

Actor	Why It Matters	Waverley Engagement Angle
Kozloduy NPP – New Builds	State company developing the two new nuclear units with Westinghouse	Counterpart for suppliers and investors in the nuclear programme

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce in Bulgaria, the British Bulgarian Chamber of Commerce, the German-Bulgarian Industrial and Trade Chamber and the Bulgarian Chamber of Commerce and Industry are the main business associations, with active sector committees and regular dialogue with government. The InvestBulgaria Agency holds investor events and promotes the country at international forums, while the Bulgarian Industrial Association represents domestic manufacturers. The European Bank for Reconstruction and Development, the European Investment Bank and the World Bank are active in energy, transport and private-sector finance, and EU-funded programmes managed by national ministries offer co-financing for qualifying projects. Embassies of major EU partners and the United States maintain commercial sections that are a useful source of introductions.

INVESTOR PROFILE BEST SUITED

Bulgaria suits investors seeking a low-cost, low-tax base inside the EU and the euro area: manufacturers serving European supply chains from industrial zones around Sofia and Plovdiv; IT, software and business-services companies drawing on Sofia's talent pool and the 10% corporate tax; energy and infrastructure investors targeting the nuclear new-build programme, the Vertical Gas Corridor, renewables and EU-funded transport projects; and logistics investors using Black Sea and Danube ports within the Schengen area. Investors in the oil and fuel sector should take sanctions advice on the Lukoil-related assets before any engagement.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the InvestBulgaria Agency and assess certification
Open direct dialogue with the agency to test eligibility for Class A, Class B or priority status under the Investment Promotion Act and the incentives that follow.

STEP 2: Shortlist sites in industrial zones and parks
Compare serviced plots in National Company Industrial Zones parks and established private parks such as the Trakia Economic Zone near Plovdiv.

STEP 3: Map EU funding opportunities
Identify Recovery and Resilience Plan and cohesion programmes that can co-finance energy, transport, digital or innovation components of a project.

STEP 4: Plan for fiscal and cost developments
Track the 2027 budget and excessive deficit procedure measures, and build wage and energy-price assumptions into financial models.

STEP 5: Screen energy-sector counterparts for sanctions exposure
Take specialist advice before any dealings with Lukoil-related entities, and monitor the outcome of the special administration and any sale.